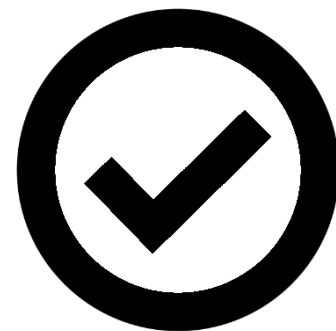


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



FEDERAL INCOME TAX ACCOUNTING (140)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each)	_____ (30 points)
True/False (10 @ 1 point each)	_____ (10 points)

APPLICATION KNOWLEDGE:

Short Answer (10 @ 2 points each)	_____ (20 points)
Job 1: Carlton Tax Return (19 @ 3 point each)	_____ (57 points)
Job 2: Fish Tax Return (25 @ 3 points each)	_____ (75 points)

<i>TOTAL POINTS</i>	_____ <i>(192 points)</i>
----------------------------	----------------------------------

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Part 1: Multiple Choice (30 points, 2 points each)

Question Answer Section

1. A
2. D
3. A
4. A
5. D
6. C
7. B
8. B
9. C
10. D
11. D
12. D
13. A
14. B
15. C

True (A)/False (B) (10 points, 1 point each)

1. B
2. B
3. B
4. B
5. B
6. A
7. B
8. B
9. B
10. A

Short Answer: Calculating Taxable Income (5 questions @ 3 points each) 15 Points Total

1. Tax Look-up (10 @ 2 points each, 20 total points)

For each of the following situations, use the attached tax tables to find the tax liability.

Filing Status	Taxable Income	Tax Liability
MFJ	44,620	<u>4,967</u>
S	57,360	<u>8,481</u>
HOH	61,665	<u>8,007</u>
MFS	76,850	<u>12,771</u>
QW	32,680	<u>3,533</u>
MFJ	49,550	<u>5,561</u>
S	33,855	<u>3,871</u>
HOH	41,400	<u>4,694</u>
S	15,952	<u>1,723</u>
MFJ	98,670	<u>13,426</u>

JOB #1 KEY: 57 Points Total (3 points each)**Schedule A Form 1040 (57 Points, 3 points each)**

1. What is the amount on line 1 of Schedule A?	<u>\$9,220</u>
2. What is the amount on line 2 of Schedule A?	<u>\$77,400</u>
3. What is the amount on line 3 of Schedule A?	<u>\$5,805</u>
4. What is the amount on line 4 of Schedule A?	<u>\$3,415</u>
5. What is the amount on line 5a of Schedule A?	<u>\$3,900</u>
6. What is the amount on line 5b of Schedule A?	<u>\$10,070 (7500-400+2970)</u>
7. What is the amount on line 5c of Schedule A?	<u>\$90</u>
8. What is the amount on line 5d of Schedule A?	<u>\$14,060</u>
9. What is the amount on line 5e of Schedule A?	<u>\$10,000</u>
10. What is the amount on line 7 of Schedule A?	<u>\$10,000</u>
11. What is the amount on line 8a of Schedule A?	<u>\$6,580</u>
12. What is the amount on line 8e of Schedule A?	<u>\$6,580</u>
13. What is the amount on line 10 of Schedule A?	<u>\$6,580</u>
14. What is the amount on line 11 of Schedule A?	<u>\$2,300</u>
15. What is the amount on line 12 of Schedule A?	<u>\$190</u>
16. What is the amount on line 14 of Schedule A?	<u>\$2,490</u>
17. What is the amount on line 16 of Schedule A?	<u>Gambling Losses</u> <u>\$2,120</u>
18. What is the amount on line 17 of Schedule A?	<u>\$24,605</u>

JOB #2 (25 @ 3 points each, 75 total points)

Red Fish, Sales Manager, is married with 2 children. Red and her husband Blue have the following income, deductions, and credit items for 2019. They file MFJ and were *not* 65 years old or blind. They do *not* itemize and did *not* last year.

W-2 Income equals \$69,400

Taxable Interest is \$595

Non-taxable Interest is \$440

Ordinary Dividends (all are qualified) of \$1,150

Unemployment Compensation is \$2,200

Poll Election Income is \$380

Blue is a first grade teacher and has educator expenses equal to \$280.

All children live with them all year long and qualify for the child tax credit, and they receive the full amount for each.

Federal W-2 withholding is equal to \$3,950 and is the only tax payments they have made.

There is a 2019 Form 1040 and Schedule 1 for the Fish's found at the end of this test: **YOU DO NOT NEED TO TURN IN A COMPLETED FORM--JUST USE IT TO CALCULATE THE LINE ANSWERS.**

Answer the following line questions regarding the Fish's Form 1040:

<u>Line #</u>	<u>Amount</u>
Line 1	<u>69400</u>
Line 2b	<u>595</u>
Line 3a	<u>1150</u>
Line 3b	<u>1150</u>
Line 7a	<u>2580</u>
Line 7b	<u>73725</u>
Line 8a	<u>250</u>

FEDERAL INCOME TAX ACCOUNTING

STATE KEY 2021

Page 7 of 7

Line 9	<u>24400</u>
Line 11a	<u>24400</u>
Line 11b	<u>49075</u>
Line 12a	<u>5501</u>
Line 12b	<u>5501</u>
Line 13a	<u>4000</u>
Line 13b	<u>4000</u>
Line 16	<u>1501</u>
Line 17	<u>3950</u>
Line 19	<u>3950</u>
Line 20	<u>2449</u>
Line 21a	<u>2449</u>

Schedule 1 (Form 1040) Additional Income and Adjustments to Income

Line 7	<u>2200</u>
Line 8	<u>Election Poll</u>
	<u>380</u>
Line 9	<u>2580</u>
Line 10	<u>250</u>
Line 22	<u>250</u>